

GOLD CREEK ESTATES v. VALLEY SPRINGS GOLD CREEK

17CV42103

DEMURRER AND MOTION TO STRIKE

This is a construction defect action involving allegations of negligent design and implementation of common areas within a subdivision complex. Before the Court is a demurrer and motion to strike by the Voorhees Defendants. **The demurrer is SUSTAINED in part, and OVERRULED in part. The motion to strike is MOOT. Plaintiff shall have 20 days leave to file and serve a Fourth Amended Complaint containing no more than eight (8) causes of action and spanning no more than 20 pages.**

CCP §430.41

In late 2015, Governor Brown signed S.B. 383 into law with the goal of reducing litigation abuses and time-wasting. While the legislation lacks the teeth necessary to make a serious dent in the litigation issues it sought to eradicate (see *Dumas v. Los Angeles County Board of Supervisors* (2020) 45 Cal.App.5th 348 at 355, and *Olson v. Hornbrook Community Services District* (2019) 33 Cal.App.4th 502 at 515), the legislation supplements the lawyers' obligation to litigate ethically (see CRPC Rules 3.1(a), 3.2, 3.4(f), 8.4(d)). It is for this reason that trial courts continue to insist on compliance.

CCP §430.41(a) requires that a demurring party "meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer," and file a declaration under penalty of perjury stating "the means by which the demurring party met and conferred with the party who filed the pleading subject to demurrer." Here, according to defense counsel, it was his opinion that meeting and conferring would serve no purpose, and thus he elected to skip the requirement altogether. (See Ahmad Decl Para 5.) This approach is troubling, not just because this Court has a lawyer openly thumbing his nose at a statute, but because a vagary in the statute seems to suggest that this Court is powerless to do anything. Not so. Although CCP §430.41(a)(4) provides that an "insufficient" meet and confer "shall not be grounds to overrule or sustain" the demurrer, nothing in that subsection obligates a trial court to reach the merits of the demurrer when the demurring party elects to completely disregard an express condition precedent to its filing. Like other conditions precedent (motion fee, notice, memorandum), the failure to satisfy a condition precedent could result in an order striking the papers. Since the same requirement, and defect, exists with the motion to strike (CCP §435.5), that pleading could also be stricken.

Nevertheless, this Court elects to reach the merits. [However, the Court notes that any future cavalier conduct by counsel likely will result in the Court imposing sanctions pursuant to CCP Section 177.5.]

Right to Repair Act

Plaintiff contends that defendants waived the question of preemption at least as to the Eighth cause of action by failing to raise it during the last demurrer round, and are not permitted to raise it against vis-à-vis the Fifth cause of action since this Court already overruled the

previous demurrer. Although CCP §430.41(b) generally prohibits a party from demurring on a ground which could have been raised earlier, plaintiff seems to forget that the earlier iteration of the Eighth cause of action was titled “intentional/negligent nondisclosure” and *intentional* nondisclosure is clearly outside the reach of the Act. (See, e.g., *Belasco v. Wells* (2015) 234 Cal.App.4th 409, 424.) CCP §430.41(b) does not directly foreclose a second demurrer to the Fifth cause of action, or a first demurrer to the refashioned Eighth cause of action. (See *Goncharov v. Uber Technologies, Inc.* (2018) 19 Cal.App.5th 1157, 1166; *Carlton v. Dr. Pepper Snapple Group, Inc.* (2014) 228 Cal.App.4th 1200, 1211.)

The Right to Repair Act effectively preempts all common law torts associated with construction defect except personal injuries, statutory violations and “fraud-based claims.” (Civil Code §§896, 931, 943; *McMillin Albany LLC v. Superior Court* (2018) 4 Cal.5th 241, 256, 259; *State Farm General Ins. Co. v. Oetiker, Inc.* (2020) 58 Cal.App.5th 940, 952-953; *Kohler Co. v. Superior Court* (2018) 29 Cal.App.5th 55, 71-72.) Defendants contend that the Fifth (fiduciary duty) and Eighth (negligent nondisclosure) causes of action are displaced (aka preempted) by the Right to Repair Act. Defendants are mistaken. Breach of fiduciary duty and negligent nondisclosure are one and the same, and both are anchored in a form of constructive fraud for which actual intent to deceive is not required. (See *Michel v. Larry Moore & Associates Realtors* (2007) 156 Cal.App.4th 756, 762-763; *Golden Gate Way, LLC v. Enercon Services, Inc.*, W15407517 at *18 (N.D. Cal 2021).) Since both contentions are “fraud-based claims,” they fall outside the reach of the Act.

Demurrers to the **Fifth** (fiduciary duty) and **Eighth** (negligent nondisclosure) causes of action as preempted by the Right to Repair Act are **OVERRULED**.

Fraud-Based Particularity

Causes of action that are fraud-based (meaning liability is based on what defendant said, or did not say) must be plead with particularity, including how, when, where, to whom, and by what means the representations were made (or not made), and in the case of an entity, the communicator’s authority to bind the entity. (*Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 184; *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645; *Morgan v. AT & T Wireless Services, Inc.* (2009) 177 Cal.App.4th 1235, 1261–1262.)

Defendants contend that plaintiff has still not provided sufficient facts to support the essential element of scienter attendant for the Second (concealment), Third (misrepresentation), Fourth (misrepresentation), Fifth (fiduciary duty), Eighth (nondisclosure), and Ninth (nondisclosure) causes of action. This contention could, in theory, go on forever, since it would be very hard for plaintiff to reach into defendants’ subconscious and plead facts regarding “knowledge” without the benefit of having completed discovery. That is precisely why less specificity is required “when it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy.” (*Cansino v. Bank of America* (2014) 224 Cal.App.4th 1462, 1469.) In other words, so long as the plaintiff alleges with particularity all elements within its own knowledge, general allegations may suffice for those elements in which “the facts lie more in the knowledge of the” defendant. (*Tenet Healthsystem Desert, Inc. v. Blue Cross of California* (2016) 245 Cal.App.4th 821, 838.) This “exception” is most often applied in the context of scienter, and is the only basis upon which defendants demur to these claims. Having reviewed the operative pleading, which is admittedly longer than need be, this Court finds that plaintiff has alleged

enough information to sufficiently acquaint defendants with how they are to meet the challenge of scienter. The balance is within their own knowledge, and subject to discovery.

Demurrer to the **Second** (concealment), **Third** (misrepresentation), **Fourth** (misrepresentation), **Fifth** (fiduciary duty), **Eighth** (nondisclosure), and **Ninth** (nondisclosure) causes of action for failure to plead enough facts is **OVERRULED**.

Duplication

Finally, defendants contend that there are subsets of “duplicate” claims that ought to be thinned out to make the pleadings more manageable. There is no express authority for sustaining a demurrer to a cause of action just because it is virtually identical to another cause of action. (See CCP §430.10; in accord, *Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 897.) Nevertheless, a number of recent appellate decisions have found that dismissing redundant causes of action on demurrer is appropriate and a good example of trial court management. (See *Dickinson v. Cosby* (2017) 17 Cal.App.5th 655, 692; *Palm Springs Villas II Homeowners Assn., Inc. v. Parth* (2016) 248 Cal.App.4th 268, 290.) This Court agrees.

The **Second** cause of action for fraudulent concealment and the **Ninth** cause of action for intentional nondisclosure (if there is such a cause of action) involve the same primary right, the same transgression (remaining silent when the law requires speech), and the same alleged harm. The demurrer to these causes of action on the grounds of redundancy is **SUSTAINED** with 20 days leave to amend as a single cause of action.

The **Fifth** cause of action for breach of fiduciary duty and the **Eighth** cause of action for negligent nondisclosure involve the same primary right, the same transgression (neglecting to speak when the client is relying on you), and the same alleged harm. The demurrer to these causes of action on the grounds of redundancy is **SUSTAINED** with 20 days leave to amend as a single cause of action.

CRC 2.112

Pursuant to CRC 2.112, each separate cause of action must specifically state the party to whom it is directed. Throughout the operative pleadings, plaintiff has employed a naming system that creates marked confusion. For example, plaintiff generally alleges that Voorhees is the de facto alter ego of Valley Springs Gold Creek, but renames Valley Springs Gold Creek as “Declarant” and renames both Vorhees and Valley Springs Gold Coast as “Developer” (see Para 45) and/or “Contractor” (see Para 47). Voorhees is also identified as the alter ego of Declarant, which is redundant. The first cause of action is alleged to run against Developer, Declarant, Contractor – which basically names Valley Springs Gold Coast (among others) three times and Voorhees twice. Plaintiff defines the group “Developer defendants” to include four of the named defendants (see Para 45), but then apparently amends the definition to cover only two of them (see Para 84). As it presently stands, Voorhees is known by at least four different designations in this pleading. This Court could go on and on identifying the areas of confusion, but suffice it to say there is no reason to force defendants, this Court, or the ultimate trier of fact to lay bread crumbs down at each turn in this self-created labyrinth just to find a way out. A complaint must include “a statement of the facts constituting the cause of action, in ordinary and concise language.” (CCP §425.10(a)(1).) The third amended complaint is too wordy and obtuse. **On uncertainty grounds, the demurrer to the whole of the pleading is SUSTAINED.**

The Clerk shall provide notice of this Ruling to the parties forthwith. Voorhees Defendants to prepare a formal Order for their respective motions pursuant to CRC 3.1312 in conformity with this ruling.

LARSON v. MARK TWAIN MEDICAL CENTER

19CV44062

PLAINTIFF'S MOTION FOR CLASS CERTIFICATION

This is a wage/hour dispute involving alleged rounding and rest/meal deficiencies suffered by those in the employ of Mark Twain Medical Center. Before the Court is the continued hearing on plaintiff's motion to certify a proposed class. Both sides have submitted requests for this Court to consider "new case authority" on the topic. This Court has obliged, though none of the new cases changes this Court's analysis. **The motion for class certification is GRANTED in part and DENIED in part.**

Class Certification Basics

A plaintiff advocating for class treatment must establish by admissible evidence an ascertainable and sufficiently numerous class, a well-defined community of interest, and substantial benefits from certification that render proceeding as a class superior to the alternatives. A class is ascertainable when it is defined in terms of objective characteristics and common transactional facts that make the ultimate identification of class members possible, and that is sufficient to allow a member of the class to identify himself or herself as having a right to recover. In other words, a class is ascertainable if it is relatively easy to see who is in the class, and who has viable claims. A community of interest exists if there are predominant common question of law or fact which will impact all class members, the proposed class representative has similar individual claims to the class, and the proposed class representative and counsel will adequately represent the class. Regarding predominance, the ultimate question is whether defendant's liability can be determined by facts common to all members of the class, and not by litigating numerous or substantial questions affecting the class members' individual rights. (See *Noel v. Thrifty Payless, Inc.* (2019) 7 Cal.5th 955, 980-986; *Duran v. U.S. Bank National Association* (2014) 59 Cal.4th 1, 28-29; *Brinker Restaurant Corp. v. Superior Court* (2012) 53 Cal.4th 1004, 1021.)

Application Here

Plaintiff Lorraine Larson worked full-time as a patient access specialist at the Mark Twain Medical Center. The bulk of her time was spent in an office, on a telephone, working to resolve billing issues between patients and insurance companies. According to plaintiff, she was the only employee handling inpatient billing and insurance concerns, which meant she was frequently unable to take a meal or rest break with any predictability. Plaintiff's last day worked was 12/05/17. She was ostensibly terminated for allegedly accessing her daughter's medical records. She challenged her termination through a union grievance forum, and reached a settlement for a modest cash payment in exchange for a release of her claims.

Plaintiff filed suit here alleging wage/hour violations. At the heart of her complaint is defendant's policy of rounding time entries to nearest 15-minute interval for every aspect of the workday, even though the written policy provides that rounding is only for payroll purposes. According to plaintiff, rounding is also used for payroll and micro-managing employee meal periods and rest breaks.